5. **The shares which are offered first to the existing shareholder at reduced price is known as _____.**

(a) Bonus Share (b) Equity Share

(c) Right Share (d) Preference Share

Answers:

1	c	2	d	3	b	4	a	5	c

II. Very Short Answer Questions:

1. What are the four stages of formation of a company?
2. What is Bonus Shares?
3. What is Right Shares?
4. What is Debentures?

III. Short Answer Questions:

1. What do you understand by Issue of Securities at Premium?
2. Explain different kinds of Preference shares. (any 3)

IV. Long Answer Questions:

1. Write the differences between Shares and Debentures. (any 5)
2. What are the various kinds of Debentures? (any 5)

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